UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**
2284/01

Paper 1 Multiple Choice **October/November 2007**

1 hour

3847876939

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

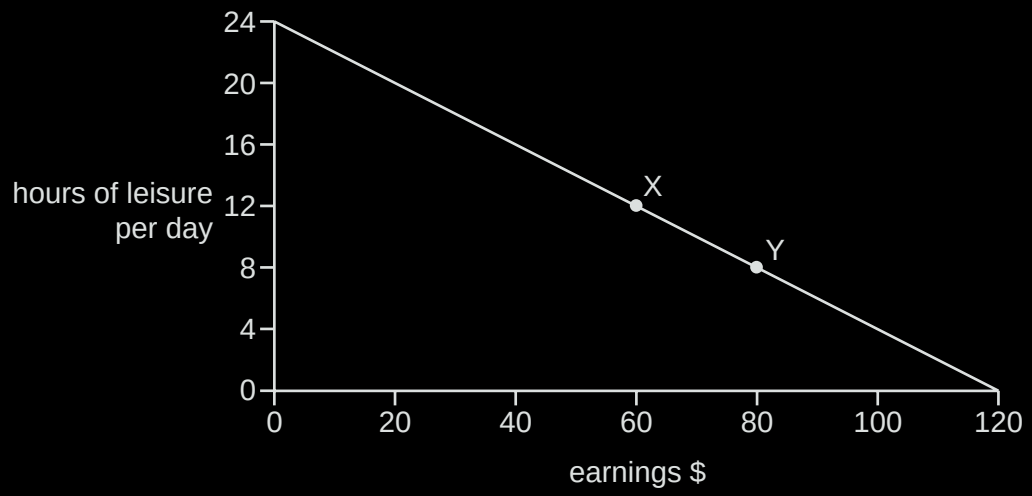
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



What is the opportunity cost to the individual of the extra earnings when moving from position X to position Y?

A $20

B $80

C 4 hours of leisure per day

D 8 hours of leisure per day

3 There are more people in developing countries who cannot read or write than in developed countries.

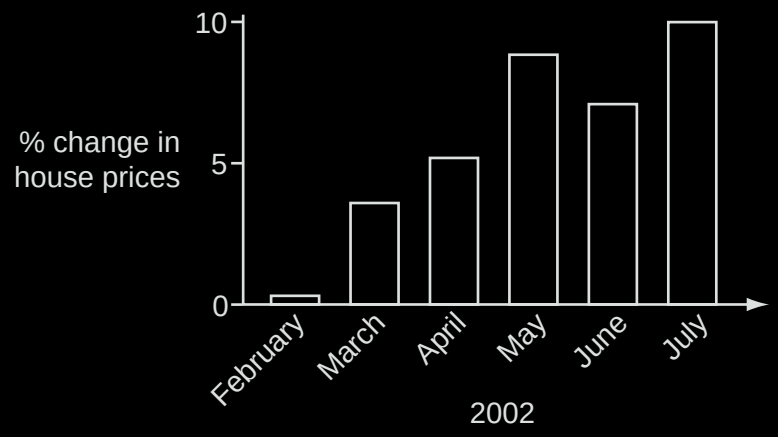
What can be concluded from this?

A Developed countries will use more labour than capital as it is skilled.

B In developing countries, factors of production are not used to their maximum potential.

C Less money needs to be spent on education in developed countries than in developing countries.

D Production in developing countries is likely to rely more on capital than labour.



What might have caused these changes in prices?

A an increase in government subsidies to house builders

B an increase in income

C an increase in the supply of houses

D an increase in unemployment

11 Sometimes travel companies advertise holidays at prices below cost.

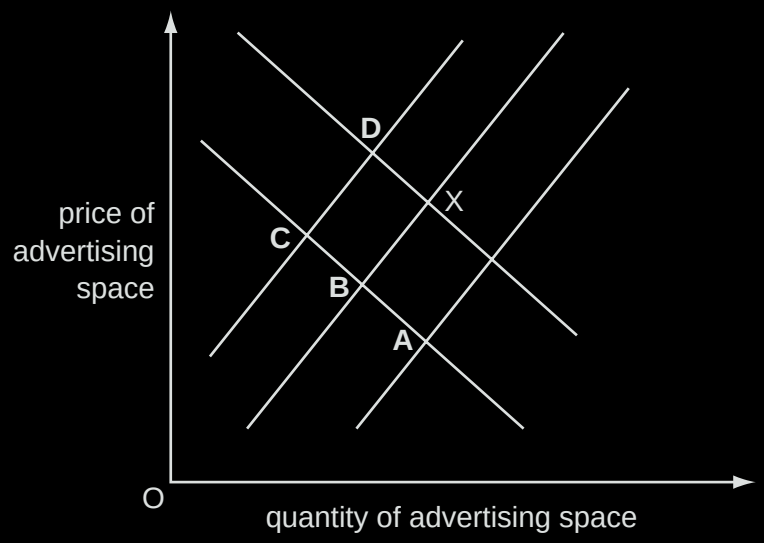
What might be a reason for this?

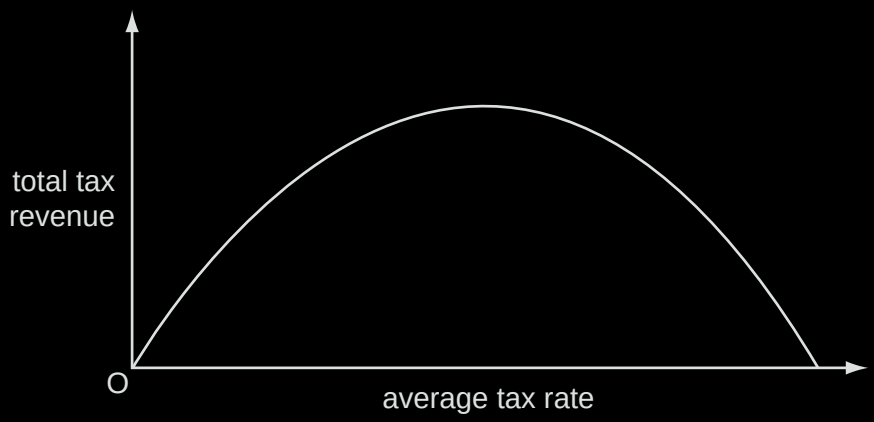
A an excess demand for holidays

B an excess supply of holidays

C a price inelastic demand for holidays

D insufficient competition in the holiday market


price of advertising space
O
quantity of advertising space
D
X
C
B
A



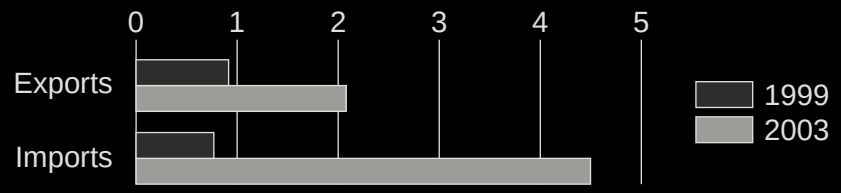
What can be deduced from the diagram?

A A rise in the average tax rate may decrease government revenue.

B The tax system is regressive.

C Low tax rates have an incentive effect upon labour.

D The burden of taxation is evenly spread.



What happened to China’s trade balance with Brazil between 1999 and 2003?

A It experienced a falling surplus.

B It experienced a rising deficit.

C It moved from deficit to surplus.

D It moved from surplus to deficit.